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# Introduction to Economics

Class 6 — Equilibrium, shifts and prices as signals

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Universitat de Barcelona · Group A6

8 October 2026

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## Quiz 3

12 minutes · pens down at 10:12 · questions on both sides

Circle the letter of your answer in the block at the top.

Changed your mind? Cross out that circle and circle the new letter.

Write your name on the block, tear the strip off along the dashed line, hand in *only the strip*.

## Plan for today

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|       |                                 |
|-------|---------------------------------|
| 10:00 | Quiz 3                          |
| 10:13 | Monday, one more look           |
| 10:15 | Olive oil: what happened?       |
| 10:18 | Where the two curves cross      |
| 10:22 | Above and below the crossing    |
| 10:35 | Prices as signals               |
| 10:40 | When a curve moves: three steps |
| 10:50 | Break                           |
| 11:00 | Supply moves; both curves move  |
| 11:30 | Nine cases, and a teaser        |
| 11:38 | Before Thursday 15 October      |

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## Monday, one more look: milk gets dearer — which curve moves?

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**The neighbourhood's market for cafè amb llet. Milk goes up in price.**

- A)** Demand: a dearer cup, fewer buyers
- B)** Supply: an input got dearer
- C)** Both curves
- D)** Neither: nobody changed the price of a cup

## Monday, one more look: milk gets dearer — which curve moves?

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The neighbourhood's market for *café amb llet*. Milk goes up in price.

A) Demand: a dearer cup, fewer buyers

**B) Supply: an input got dearer**



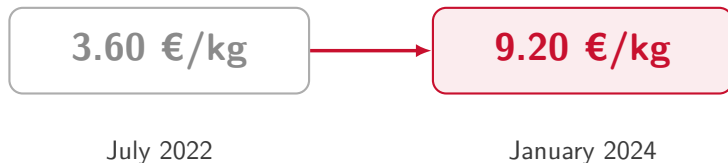
C) Both curves

D) Neither: nobody changed the price of a cup

Milk is the bars' cost, not the buyers'. Demand asks what buyers want at each price; nothing about them changed. The price of a cup will change — today's story — as a result, not a cause.

**Olive oil at origin: 3.60 euros a kilo, then 9.20**

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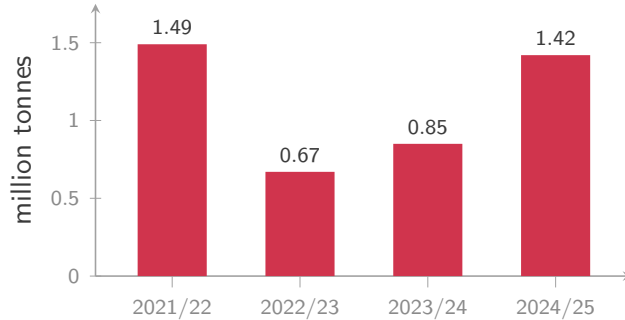


**What happened — and which curve?**

Poolred, the Spanish olive-oil origin price system: weekly prices paid to mills for extra virgin oil.

## The 2022/23 harvest was less than half the one before

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Two dry years; then the harvest came back, and the price came down: 4.25 by the end of 2024.

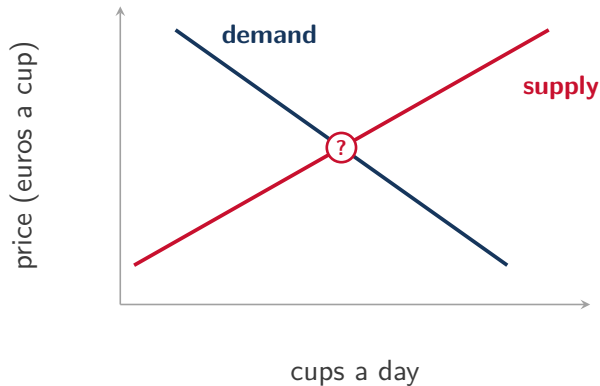
Olive oil made in Spain, by campaign: MAPA campaign balances. Prices: Pooled, extra virgin at origin, weekly.

Where the two curves cross: 160 cups a day at 2.00 euros

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| price | wanted | offered |
|-------|--------|---------|
| 1.00  | 240    | 60      |
| 1.50  | 200    | 110     |
| 2.00  | 160    | 160     |
| 2.50  | 120    | 210     |
| 3.00  | 80     | 260     |

the neighbourhood, cups a day

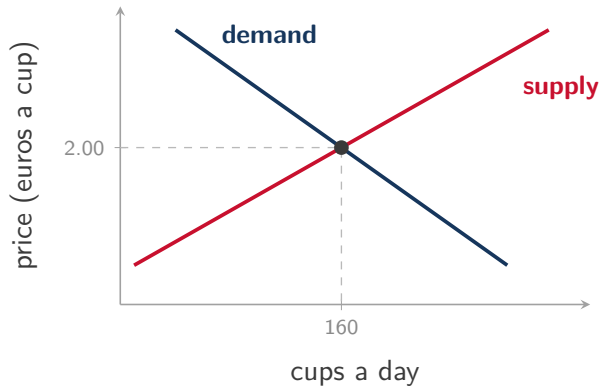


Where the two curves cross: 160 cups a day at 2.00 euros

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| 1.50        | 200        | 110        |
| <b>2.00</b> | <b>160</b> | <b>160</b> |
| 2.50        | 120        | 210        |
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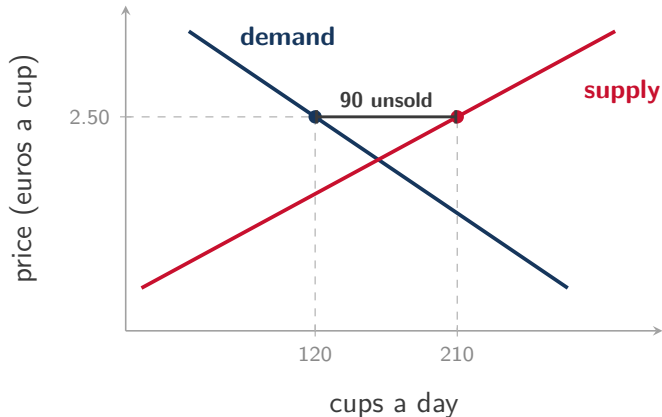
the neighbourhood, cups a day



**Equilibrium price:** the one price at which wanted = offered. No queue, nothing left over.

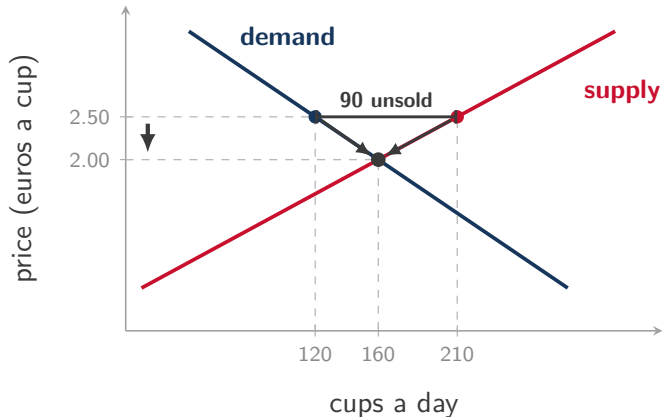
**At 2.50: offered 210, wanted 120 — a surplus of 90**

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At 2.50: offered 210, wanted 120 — a surplus of 90

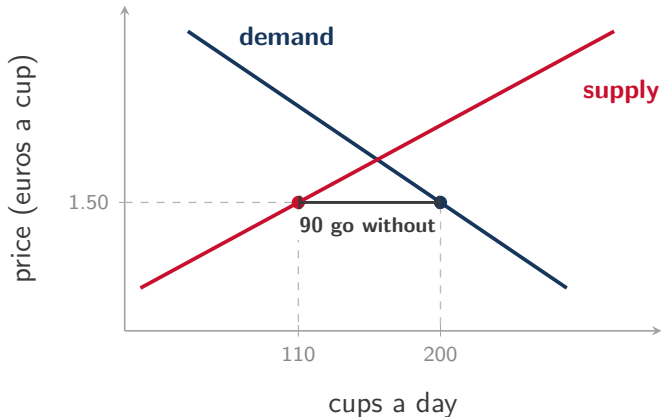
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**Surplus:** unsold cups. Sellers cut the price; down both curves to 2.00.

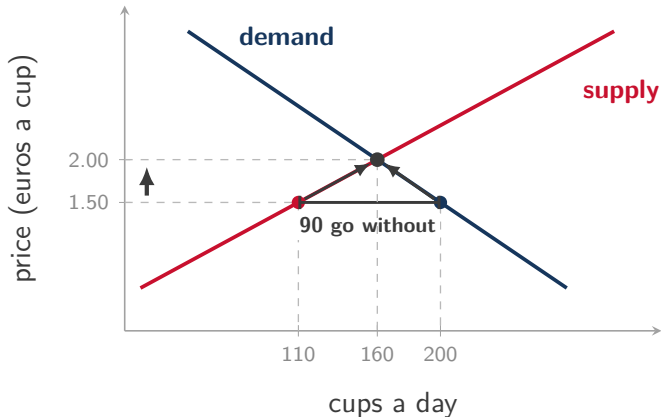
**At 1.50: wanted 200, offered 110 — a shortage of 90**

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At 1.50: wanted 200, offered 110 — a shortage of 90

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**Shortage:** a queue. Sellers raise the price; up both curves to 2.00.

## In pairs, three minutes: bikinis at the bars around the faculty

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Where does the market settle? What happens at 5.50, and at 4.00?

| price (€) | wanted | offered |
|-----------|--------|---------|
| 4.00      | 300    | 80      |
| 4.50      | 250    | 140     |
| 5.00      | 200    | 200     |
| 5.50      | 150    | 260     |
| 6.00      | 100    | 320     |

bikinis a day

- 1 The crossing:
- 2 At 5.50:
- 3 At 4.00:

## In pairs, three minutes: bikinis at the bars around the faculty

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bikinis a day

- 1 The crossing: **5.00 and 200 bikinis a day: wanted = offered.**
- 2 At 5.50:
- 3 At 4.00:

## In pairs, three minutes: bikinis at the bars around the faculty

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bikinis a day

- 1 The crossing: **5.00 and 200 bikinis a day: wanted = offered.**
- 2 At 5.50: **a surplus of 110 (260 offered, 150 wanted); the price falls.**
- 3 At 4.00:

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bikinis a day

- 1 The crossing: **5.00 and 200 bikinis a day: wanted = offered.**
- 2 At 5.50: **a surplus of 110 (260 offered, 150 wanted); the price falls.**
- 3 At 4.00: **a shortage of 220 (300 wanted, 80 offered); the price rises.**

## Nobody counts the cups. The price does.

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### The price rises

buyers: fewer cups, or tea

sellers: more cups, longer hours

### The price falls

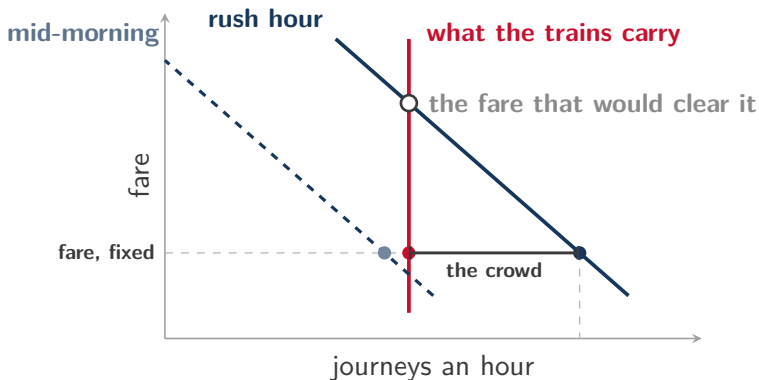
buyers: more cups

sellers: fewer cups, shorter hours

**Prices as signals:** one number tells buyers what to give up and sellers what it pays to make.  
160 cups a day, planned by nobody.

## When the price cannot move, the crowd does the rationing

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A fare set by decree: the shortage is the full platform, not a price. Price controls: Class 9.

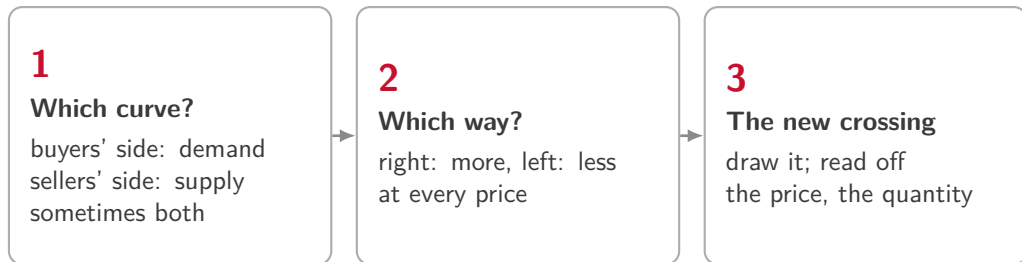
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# When a curve moves

Three steps, and what the price does

## A change in the market: three steps, always the same

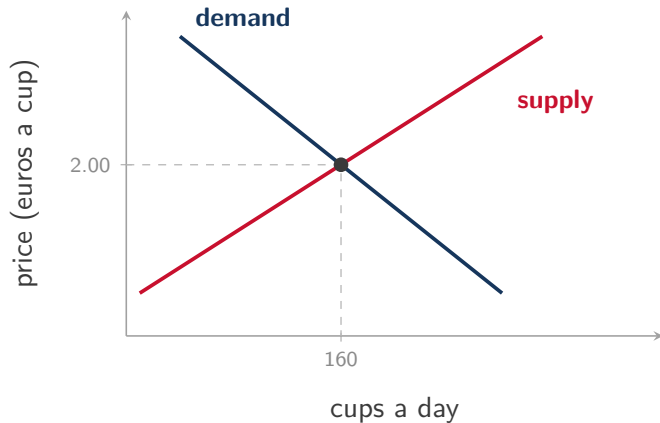
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Step 1 is Monday's rule: anything but the good's own price moves a curve. The price is step 3.

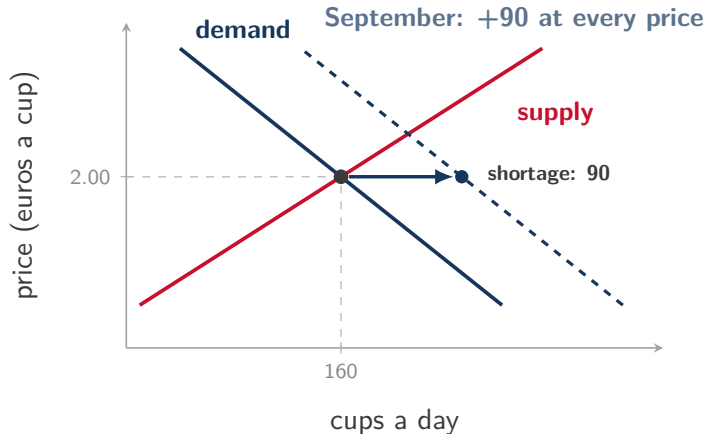
## Demand shifts right: a dearer cup, and more of them

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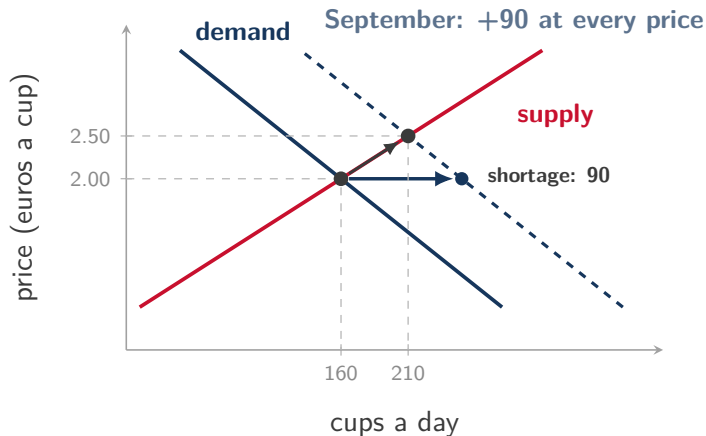
## Demand shifts right: a dearer cup, and more of them

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## Demand shifts right: a dearer cup, and more of them

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Demand moved, supply did not: the market slid *up the supply curve* to 2.50 and 210 cups.

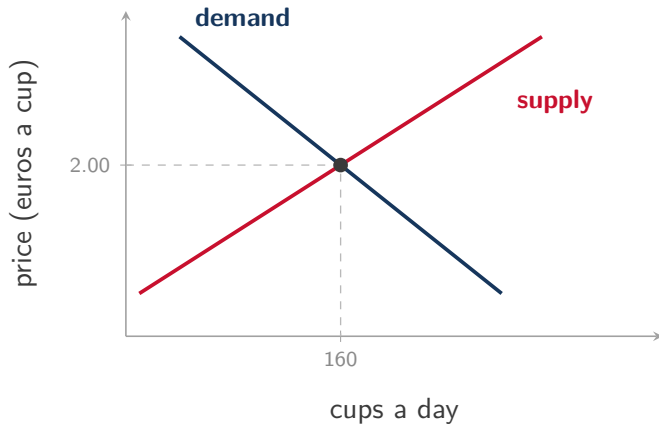
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# Break

Back at 11:00

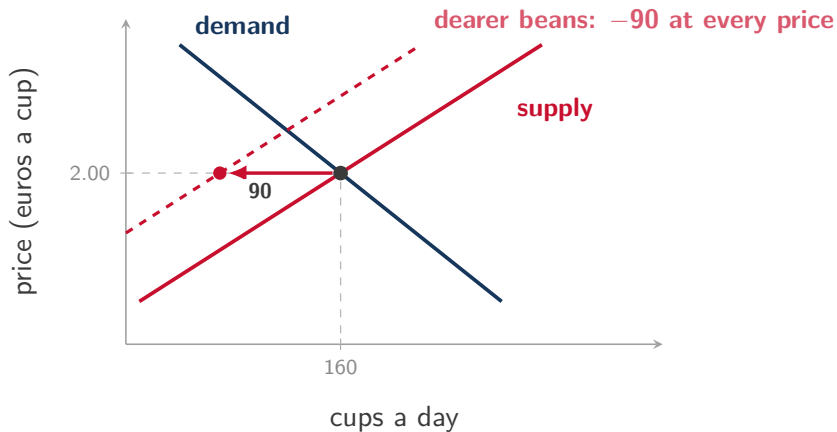
## Supply shifts left: a dearer cup, and fewer of them

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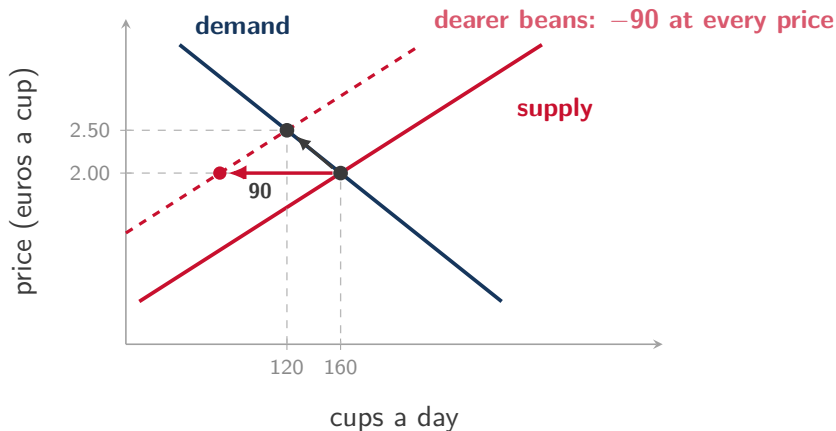
## Supply shifts left: a dearer cup, and fewer of them

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## Supply shifts left: a dearer cup, and fewer of them

---



Supply moved, demand did not: the market slid *up the demand curve* to 2.50 and 120 cups.

## In pairs: the coffee market — which curve, which way, and then?

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- 1 Milk gets cheaper.
- 2 A heatwave: fewer people want a hot drink.
- 3 Students are back in September.
- 4 Baristas' wages rise.
- 5 A cup gets dearer.

Four minutes. Which curve, which way — and what happens to the price and the quantity?

## In pairs: the coffee market — which curve, which way, and then?

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- 1 Milk gets cheaper.  
**supply right: the price falls, more cups**
- 2 A heatwave: fewer people want a hot drink.
- 3 Students are back in September.
- 4 Baristas' wages rise.
- 5 A cup gets dearer.

## In pairs: the coffee market — which curve, which way, and then?

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**supply right: the price falls, more cups**
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## In pairs: the coffee market — which curve, which way, and then?

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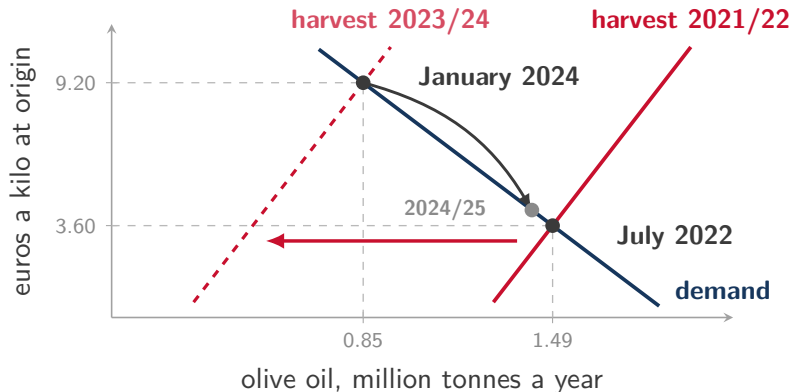
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**demand right: the price rises, more cups**
- 4 Baristas' wages rise.  
**supply left: the price rises, fewer cups**
- 5 A cup gets dearer.  
**no curve moves by itself: a price is step 3's answer, never the event**

## Olive oil in three steps: supply left, up the demand curve, then back

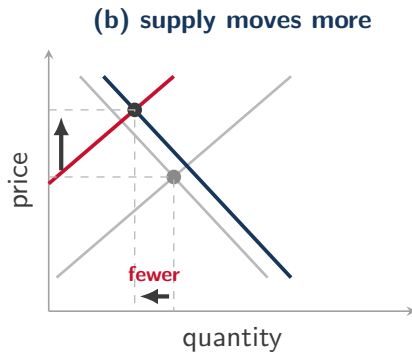
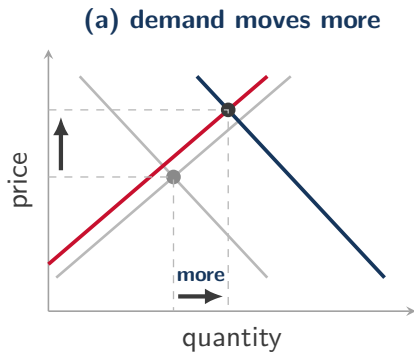


Supply, then left, then up the demand curve: 3.60 to 9.20. Harvest back: 4.25 by late 2024.

Prices: Poolred, extra virgin at origin. Harvests: MAPA campaign balances. The curves are sketches, not data.

## Demand right, supply left: the price rises for sure; quantity depends

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In grey, the curves before. Both shifts push the price up; they pull the quantity opposite ways.

## In pairs: 23 April, the day of the roses

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**Everyone wants a rose; florists fly them in. The model says:**

- A)** Dearer roses, and more of them
- B)** More roses for sure; the price: it depends
- C)** Dearer roses for sure; how many: it depends
- D)** Nothing for sure

## In pairs: 23 April, the day of the roses

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Everyone wants a rose; florists fly them in. The model says:

A) Dearer roses, and more of them

**B) More roses for sure; the price: it depends ✓**

C) Dearer roses for sure; how many: it depends

D) Nothing for sure

Both curves right: each adds roses. Buyers push the price up, florists push it down; dearer only if buyers moved more than florists.

## One curve moves: both known. Both move: one of them depends

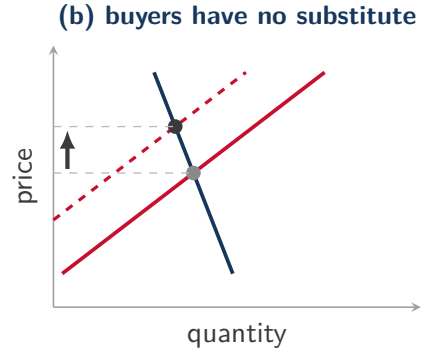
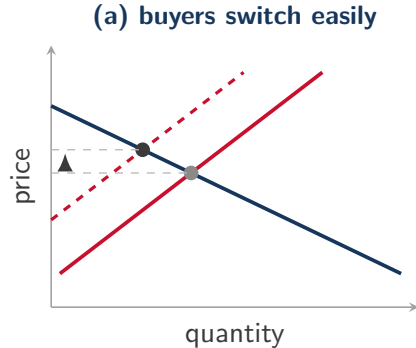
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|                  | supply unchanged                  | supply right                    | supply left                     |
|------------------|-----------------------------------|---------------------------------|---------------------------------|
| demand unchanged | no change                         | $P \downarrow \cdot Q \uparrow$ | $P \uparrow \cdot Q \downarrow$ |
| demand right     | $P \uparrow \cdot Q \uparrow$     | $P ? \cdot Q \uparrow$          | $P \uparrow \cdot Q ?$          |
| demand left      | $P \downarrow \cdot Q \downarrow$ | $P \downarrow \cdot Q ?$        | $P ? \cdot Q \downarrow$        |

Do not memorise the table: draw the crossing. A **?** is where the two shifts pull opposite ways.

## The same shift, two markets: how far does the price jump?

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Which way is today's question. How much is Thursday 15 October's: **elasticity**.

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**The price moves until wanted equals offered.  
A curve moves: find the new crossing.**

One curve: price and quantity both known.

Both curves: one of them depends on which moved more.

## Before Thursday 15 October

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- No class Monday 12 October (Festa Nacional)
- Read Mankiw & Taylor, Ch. 3, pp. 53–66 — price elasticity of demand, other demand elasticities, price elasticity of supply; pp. 67–73 (applications) optional
- Project: your topic fixed by Thursday 15 October
- Problem set 1 (Blocks 1–2) handed out Thursday 15 October
- Practise in Sextant: the units the course page lists



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